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Research

Q2 Tech Performance Review: Memory Wins, Chips Dominate

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Marion Laboure | Camilla Siazon

Deutsche Bank Research Institute

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.


Micron Soars After AI-Fueled Forecast Shatters Estimates
Apple increases MacBook and iPad prices by 20%
Wall Street ends lower on semiconductor selloff as AI spending concerns mount
Alibaba sues Pentagon over inclusion on Chinese military blacklist
Chinese AI, chip firms are driving an onshore IPO rebound
Anthropic Halts Access to Top AI Models After U.S. Ban on Foreign Use
Apple seeks to buy memory chips from blacklisted Chinese company

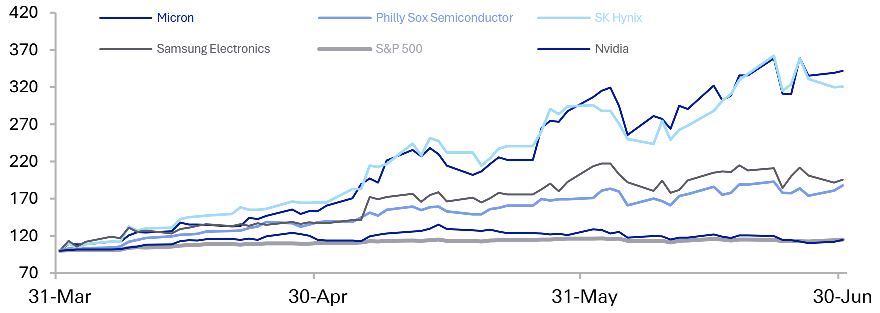
SUMMARY: Memory wins, chips dominate

In Q2, equities ran largely uncorrelated from events in Iran, driven by a tech rally despite ongoing concerns over the war. Strong earnings growth fuelled the Mag 7's rise in April (+15%) and May (+7%). Then last month, risk assets sold off despite the June 15 US-Iran peace deal, as worries over rising Fed hawkishness, the memory shortage's inflationary impact, and doubts over AI demand sustainability triggered a sell-off in AI stocks. Still, despite the meltdown over the last few weeks, tech delivered a remarkable run this quarter, with AI excitement significantly outweighing macro and geopolitical concerns around the war. The Mag 7 ended up +12% on the quarter.

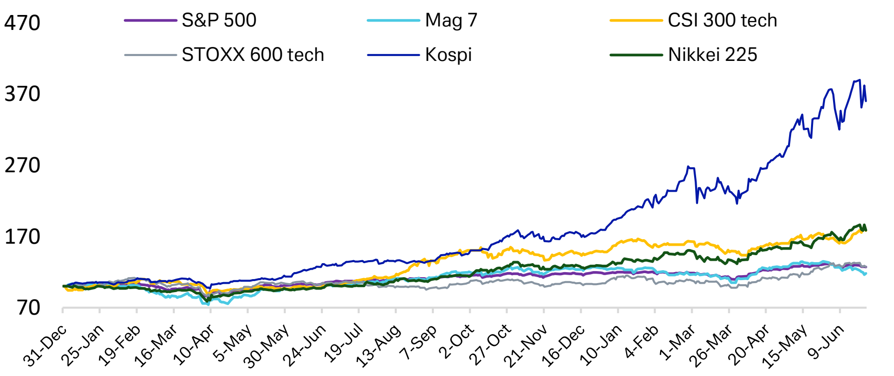
The spotlight has been on memory chipmakers in particular, which drove most of tech's outperformance – and its June selloff. The ongoing memory shortage has led to rising returns for Micron (+242% q/q), SK Hynix (+228% q/q) and Samsung Electronics (+100% q/q), all of which have now joined the $trn dollar market-cap club. Asian equities followed, with the Nikkei 225 (+37% q/q) and Kospi (+67% q/q) outperforming their Western counterparts.

What will Q3 bring? Micron's results were probably enough to restore confidence in AI-driven demand, particularly in data-centre memory. But volatility under a more hawkish Fed will likely persist, and BIS has warned of AI exuberance risk ending in a lengthy investment bust. In crypto, payments and fintech, expect continued pressure as investors rotate into AI. Tech should remain the underlying volatility driver, with the US most exposed.

Memory chipmakers have had geometric rises…



… pushing up Asian equities in particular

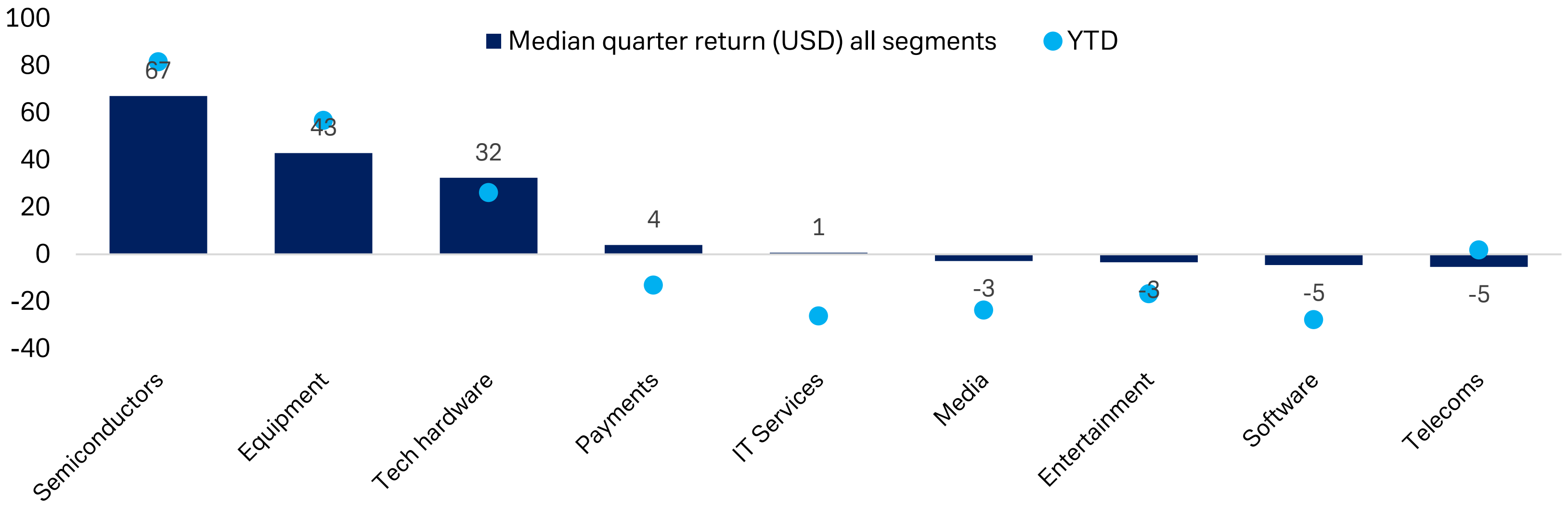


Sources: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

1. GLOBAL INDUSTRY BREAKDOWN

Semiconductors and chip-related stocks are tech's clear group-stage winners in Q2 and YTD, led by Chinese and other Asian companies like GigaDevices (+248% q/q) and ACM Research (+210% q/q). Outside of semis, equipment and tech hardware, the rest of the field struggled. Payments and IT services continue to underperform in both AI risk-on and risk-off environments, with this quarter also weighed down by Accenture's (-37% q/q) weak FQ326 earnings in June. Software remains the worst performer, as AI disruption continues to hit companies including Intuit (-39% q/q), Horizon Robotics (-38% q/q) and Sensetime (-27% q/q).

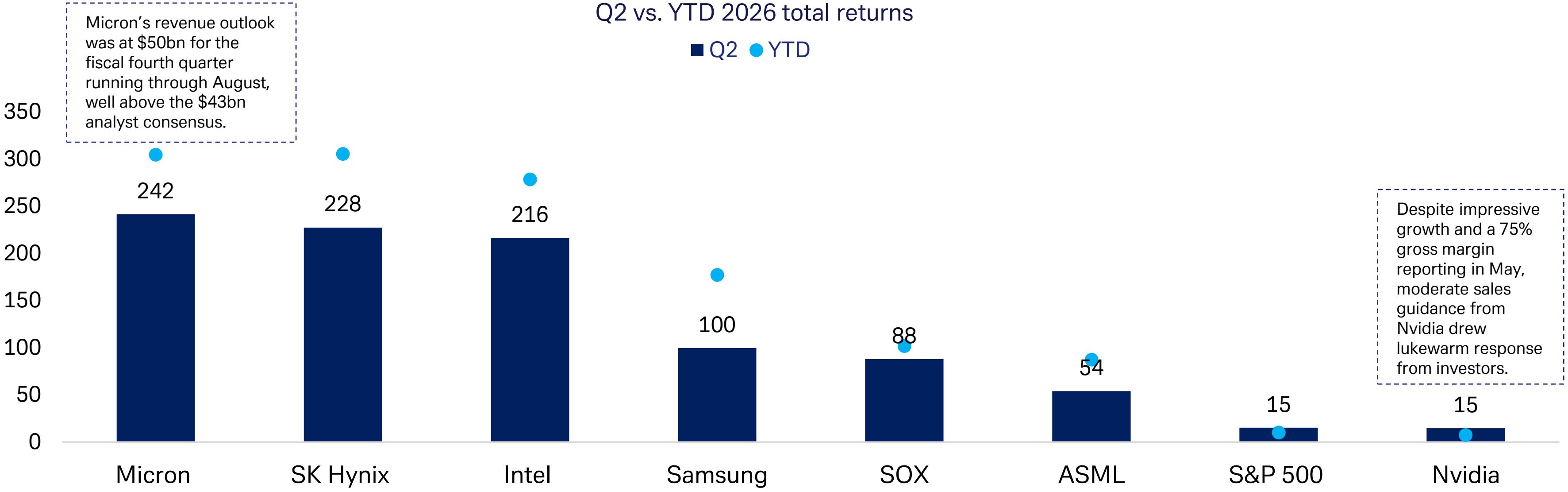
Median total returns for tech sectors over Q2 vs. YTD returns



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

2. SEMICONDUCTORS

Memory chipmakers will continue to benefit from persistent industry imbalances, with Micron and SK Hynix the standout performers. Micron's earnings beat ignited hopes about AI-fuelled growth and helped push back against bubble fears. SK Hynix has also confirmed it will seek over $29bn via the issue of ADRs on the Nasdaq. Intel (+216% q/q) surged on a strong earnings beat and accelerating foundry momentum, with reports that Apple is evaluating Intel's 18A process and Google has reportedly placed orders for more than 3mn TPUs for 2028. Elsewhere, the Philadelphia Semiconductor Index (+88% q/q) posted its best quarterly performance since the index began in the early 1990s.

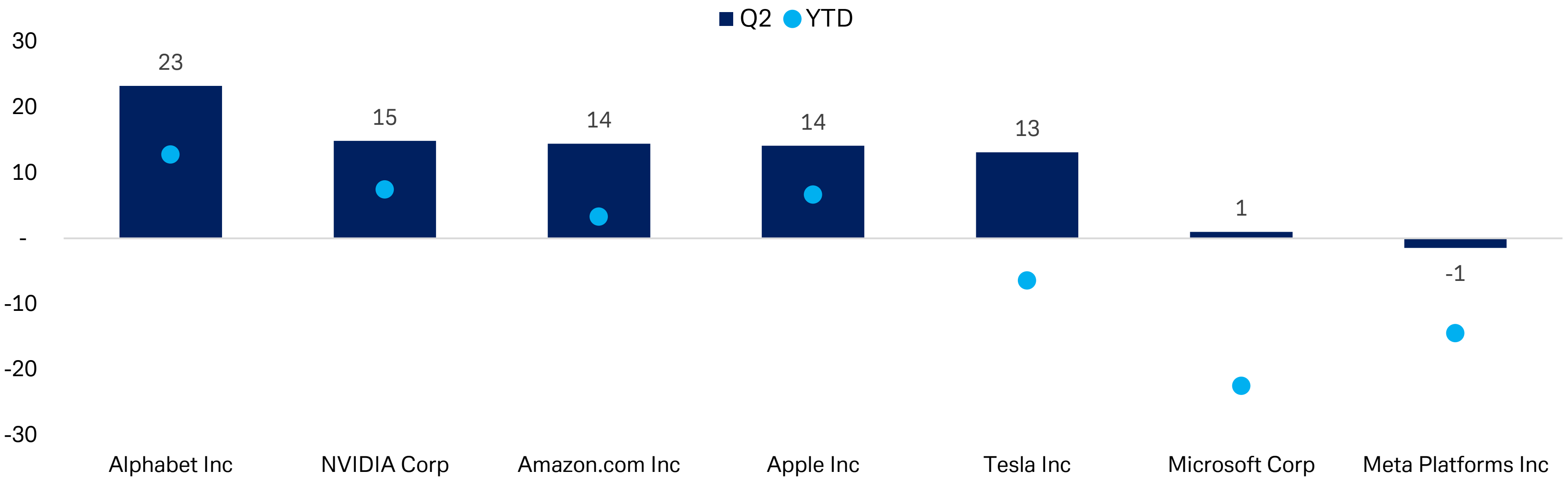


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026. Returns in local currency.

3. MAGNIFICENT 7

The Mag 7 started Q2 on a high, driven by strong earnings growth against a backdrop of hyperscaler capex expected to exceed $700bn this year. In June, elevated large-cap tech positioning combined with AI concerns temporarily dragged the index into correction territory, although the group recovered by quarter-end (+12% q/q). Microsoft (+1% q/q) continues to lag YTD, as dual concerns over its ability to compete on AI spending and AI disruption risk persist.

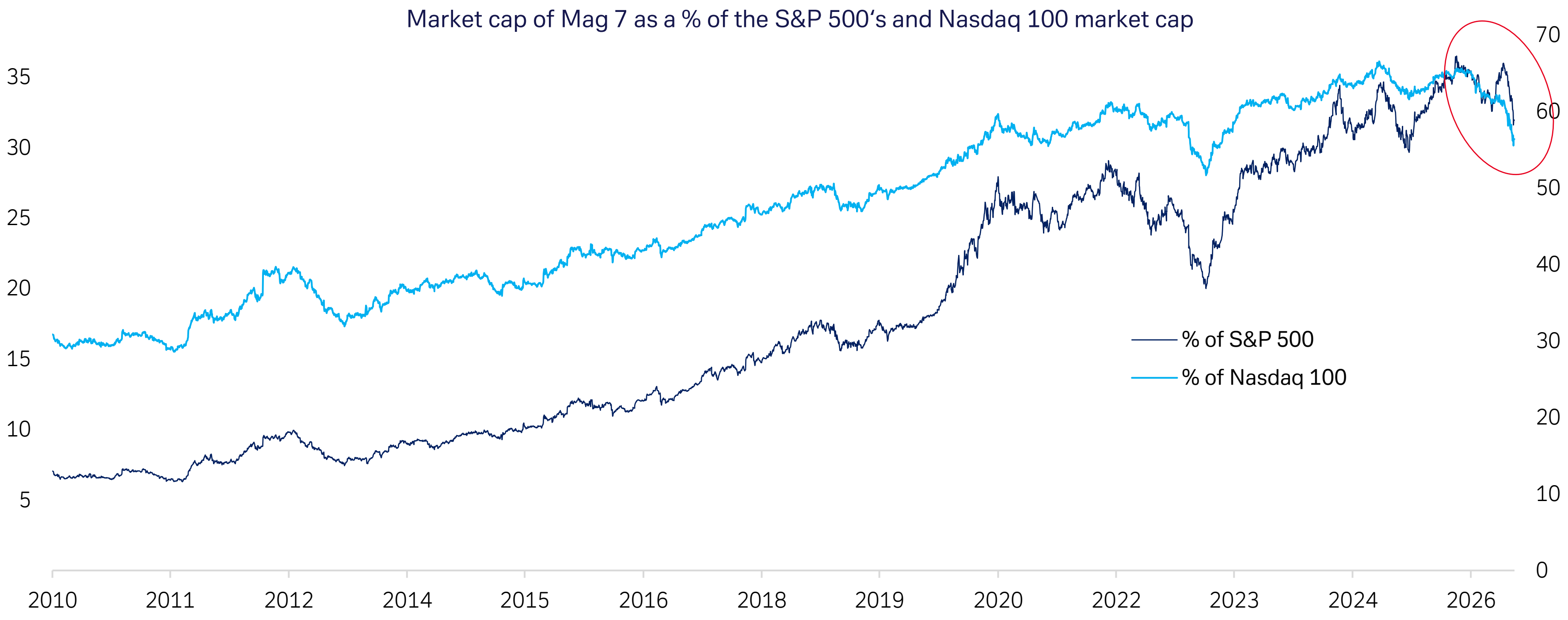
Mag 7 total returns



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

3.1 MAGNIFICENT 7

Large-cap tech stocks are down significantly, dragging the S&P 500 down modestly, even as two-thirds of the overall stocks and industries are up, alongside small- and mid-caps. Still, according to our strategists, there is an ongoing rotation away from large-cap tech and into other sectors and regions that have lagged.

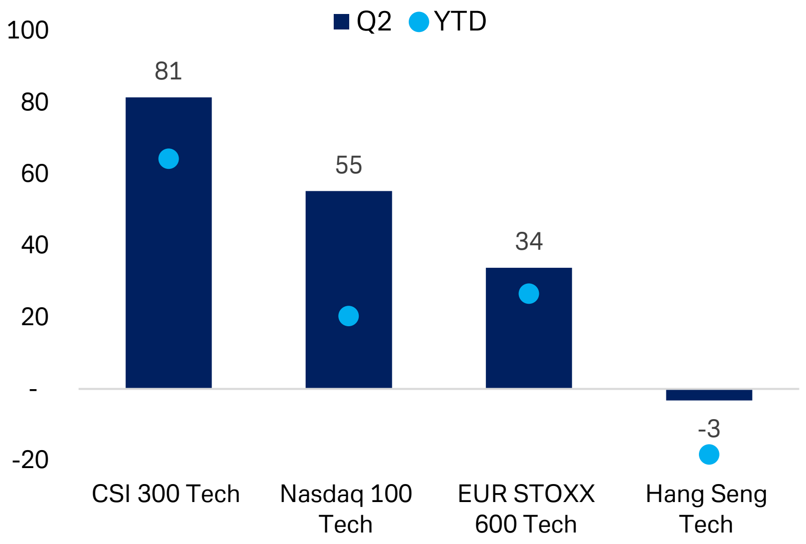


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

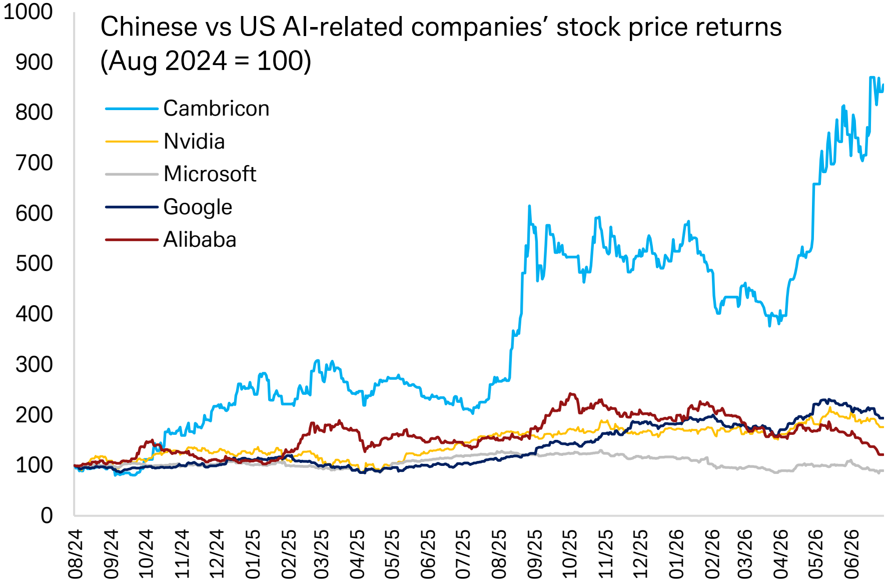
4. REGIONAL BREAKDOWN

Chinese stocks are leading YTD and quarterly gains, buoyed by local memory chipmakers, while off-shore HK-listed tech continues to suffer from old-guard heavyweights like Xiaomi (-32% q/q), Alibaba (-21% q/q), and Tencent (-10% q/q). Elsewhere, European tech equities saw some growth but suffered substantial outflows during the war, with software companies particularly affected over the last six months.

Top global tech indices – Q2 vs. YTD total returns



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated June 30, 2026.

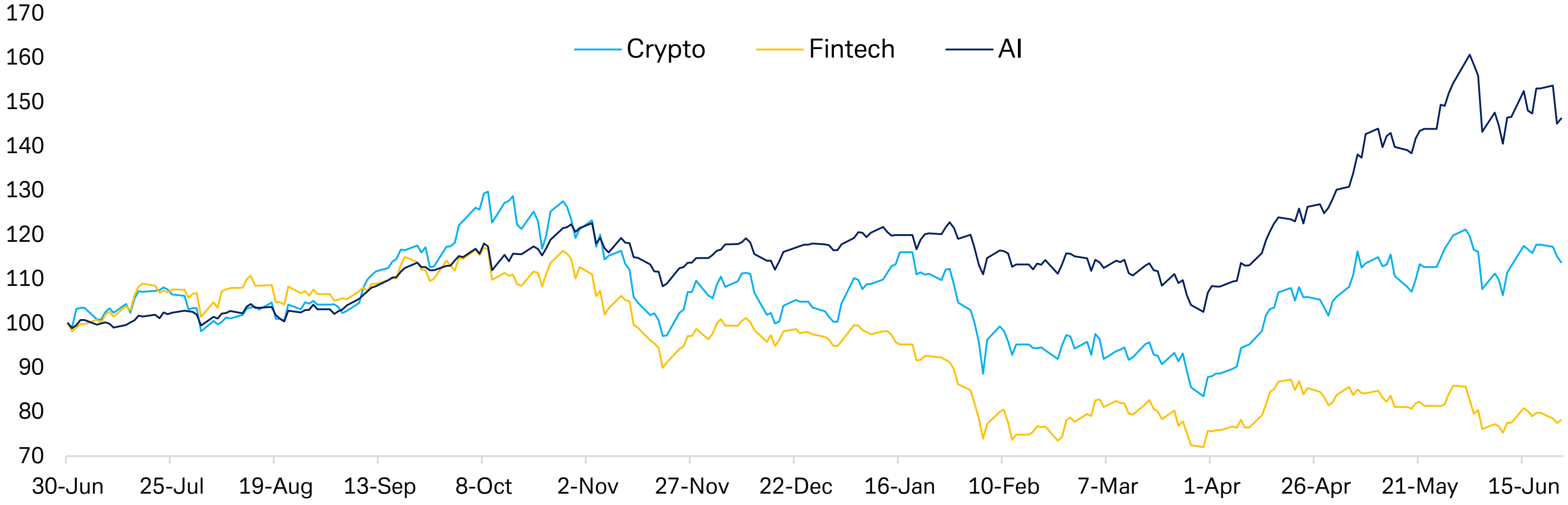


Source: Deutsche Bank Research, Bloomberg Finance LP. Indexed to 100. Updated June 30, 2026.

5. CRYPTO, AI & FINTECH

Crypto extended its struggles in Q2, falling below $60k in June as a renewed sell-off was driven by a more hawkish Fed outlook, record institutional ETF outflows, uncertainty over the CLARITY ACT, and rotation of risk capital into AI (see here). Our Fintech and blockchain ETF remains the worst-performing segment YTD (-17%), weighed down by ongoing pain at companies like Canton Strategic Holdings (-14%) and Circle (-34%). Fintech sentiment remains weak more broadly, with the steady demand deterioration coupled with long-term fears around AI disintermediation.

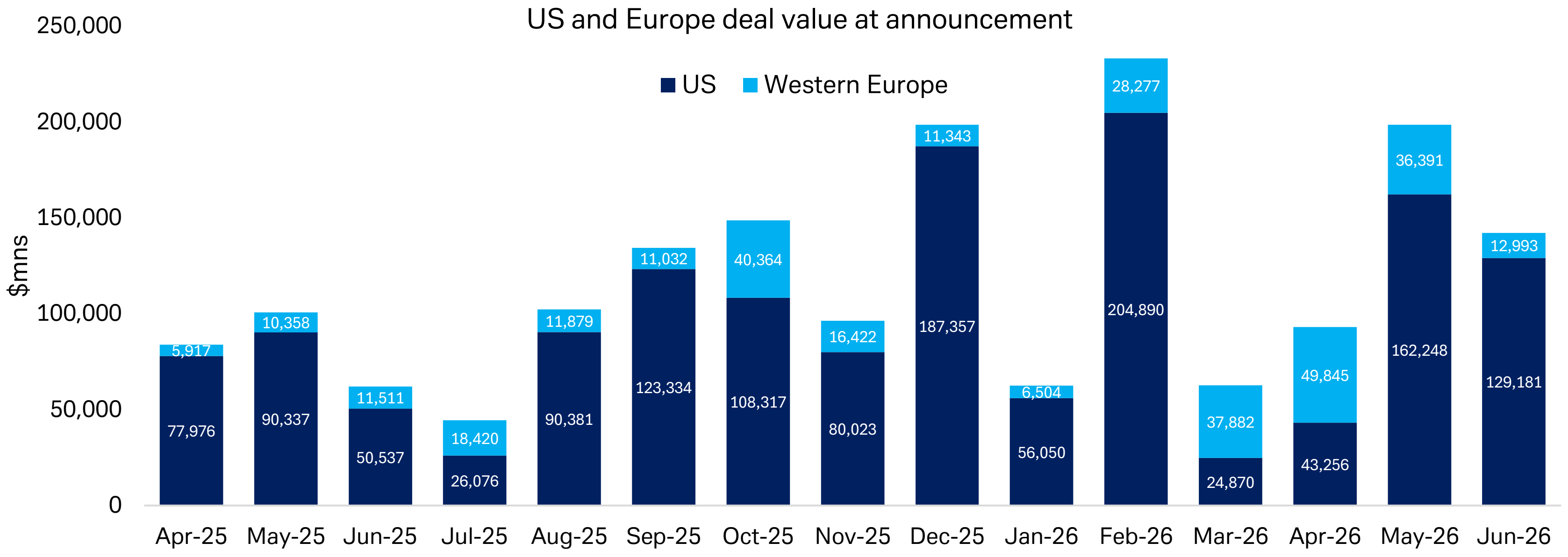
Crypto, AI & Fintech performance rebased to June 2025



Source: Deutsche Bank Research, Bloomberg Finance LP. Data updated June 30. The following are based on AIQ ETF, BLOK US Equity ETF, and ARKF US Equity ETF.

6. M&A

After a halt in April, Q2 was a blockbuster quarter for mega-cap AI IPOs, with Anthropic ($65bn) and OpenAI ($852bn) filings. Beyond IPOs, semiconductors M&A led the way, including Analog Devices' proposal to acquire Empower Semiconductor for $1.5bn in May and ONSemi's $6.8bn acquisition of Synaptics Inc, announced on 25 June.



Source: Deutsche Bank Research, Dealogic. Values up to June 29.

Appendix 1

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